resulted in both a revanchist Pakistan and a continuing problem in Jammu and Kashmir. That it has taken us so long to link talks with Pakistan to cessation of terrorism speaks for itself. Without overstating the argument, a case can certainly be made for a more grounded Indian approach to international relations.

The economic counterpart of these concerns constitutes a second basket. If one considers all the major growth stories after 1945, a common feature was the extraordinary focus that they put on leveraging the global environment for national development. China did that with great effect, initially with the USSR and then with the US and the West. The Asian ‘tiger economies’ practised it as well, using Japan, the US and now China successively to build themselves. That is how India too approached its various relationships over the last seven decades, but not always with the same single-mindedness. Nevertheless, much of India’s industrialization and capacities in other domains were direct achievements of collaborations enabled by diplomacy. Steel, nuclear industry, higher education and computing are some examples. This held true even more for the post-1991 reform period and the shift eastwards of India’s economic centre of gravity.

The interconnection between diplomacy, strategy and economic capabilities is, however, not always self-evident. As in security, it is important to distinguish between cause and effect. The economy drives diplomacy; not the other way around. Few would argue that the reforms of the 1990s and greater openness have served us well for some years. But as we then extrapolated it onto free trade agreements with South-East and East Asia, the proposition became more challengeable. Blame it on structural rigidities, limited competitiveness, inadequate exploitation of opportunities or just unfair practices: the growing deficit numbers are a stark reality. More importantly, their negative impact on industry at home is impossible to deny. And China, of course, poses a special trade challenge even without an FTA.

Any quest to maximize options and expand space naturally requires engaging multiple players. Conceptually, this third basket is a given in Indian foreign policy since there is a basic consensus about nurturing our independence. While doing well in the first decade of a bipolar world, we